S&P Global
Market Intelligence

Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

FQ1 2026 Earnings Call Transcripts

Wednesday, April 29, 2026 10:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ4 2025-			-FQ1 2026-	-FY 2025-			-FY 2026-	
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	GUIDANCE
EPS Normalized	0.78	NA	NA	0.53	2.67	NA	NA	3.12	NA
Revenue (mm)	108048.30	NA	NA	99978.66	427332.44	NA	NA	428047.99	426952.00

Currency: MXN
Consensus as of Apr-29-2026 10:49 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ1 2025	0.53	0.41	1 (22.64 %)
FQ2 2025	0.70	0.65	2 (7.14 %)
FQ3 2025	0.82	0.78	3 (4.88 %)
FQ4 2025	0.78	0.73	4 (6.41 %)

COPYRIGHT © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Table of Contents

Call Participants 3
Presentation 4
Question and Answer 6

COPYRIGHT © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved

Call Participants

EXECUTIVES

Alejandro Rodríguez Bas
Chief Executive Officer

Diego Gaxiola Cuevas
Chief Financial Officer

Greg Koehrsen
President of Bimbo Bakeries USA

ANALYSTS

Alejandro Fuchs
Itaú Corretora de Valores S.A., Research Division

Álvaro García
Banco BTG Pactual S.A., Research Division

Antonio Hernandez Velez Leija
Actinver Casa de Bolsa, S.A. de C.V., Research Division

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

Renata Fonseca Cabral Sturani
Citigroup Inc., Research Division

Unknown Analyst

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Presentation

Operator

Good day, and welcome to Grupo Bimbo's First Quarter 2026 Results Conference Call. [Operator Instructions]

Please note, this event is being recorded. I would now like to turn the conference over to Alejandro Rodríguez Bas, CEO. Please go ahead. .

Good afternoon, everyone, and thank you for joining us today. Connected on the line today are our CFO, Diego Gaxiola; BBU President, Greg Koehrsen, along with several members of our finance team. I would like to begin by sincerely thanking our teams and more than 152,000 associates around the world for their dedication and hard work in delivering these outstanding results.

At Grupo Bimbo, we operate with 1 mindset, all for one and for all and that oen is Grupo Bimbo. We kicked off 2026 on a very strong note, delivering record net sales and achieving the highest first quarter EBITDA margin in our history. Importantly, despite the complex environment, we are beginning to see favorable shift in both price/mix and volumes, signaling a recovery in underlying demand across our portfolio.

In addition, our recent acquisitions are contributing supporting both top line growth and margin expansion. All 4 of our regions delivered growth, with particularly strong contributions from North America and Mexico and our 2 largest markets as well as EAA. In North America, we reached an important milestone, delivering positive sales growth for the first time since the third quarter of 2023. This return to year-over-year growth reflects early signs of stabilization, supported by improved execution and enhanced commercial discipline. Volumes improved sequentially, across nearly all segments, and we gained market share in key categories, including mainstream bread, buns, salty snacks and breakfast. These results underscore the continued progress of our transformation initiatives, which are delivering tangible productivity benefits. Notably, this marks our third consecutive quarter of margin expansion in the region.

Mexico delivered outstanding results, achieving the highest net sales level in its history for any quarter. This performance highlights our ability to grow even in a softer consumer environment with broad-based strength across categories and channels, supported by high-quality service, disciplined execution and the continued strength of our brands. In EAA, performance remains exceptional with another quarter of record results despite a strong comparison base.

Importantly, growth is becoming increasingly diversified with Iberia, our largest market in the region, now contributing to overall momentum. Latin America also delivered a very strong performance achieving record sales levels. Profitability was solid across nearly all countries, with the exception of Brazil. As expected, Brazil results reflect the temporary impact of the Wickbold integration, cost efficiencies and synergies expected to be realized over time. We continue to strengthen our portfolio through disciplined and strategic capital allocation.

In April, we acquired Bonel in Tunisia, the market leader in single-serve croissants. The acquisition complements our existing operations and reinforces our strategy of pursuing targeted opportunity that enhance our capabilities and expand our presence in attractive categories and geographies. Additionally, to our venture capital arm, Bimbo Ventures, we divested a small minority stake in Mexico. On ESG, we received a total of 18 recognitions during the quarter, including being named as one of the world's most ethical companies for the tenth consecutive year.

These decisions underscore our continued commitment to the highest standards of governance as well as our ongoing focus on environmental stewardship and social impact. Looking ahead, we remain mindful of the uncertainty and volatility in the global environment, including, geopolitical tensions. However, we're confident in the strength of our business, the resilience of our teams and the effectiveness of our strategy. We believe we're well positioned to navigate this environment and continue delivering strong consistent performance. With that, we now turn the call over to Diego, who will walk you through our financial results. Diego, please go ahead.

Diego Gaxiola Cuevas
Chief Financial Officer

Thank you, Alejandro, and good afternoon, everyone. Thank you for joining us today. This was an exceptional first quarter, reflecting the strong execution of our strategy across the organization. The resilience of our business model, the operating efficiencies we have been able to implement in several of our organizations and our strong diversification.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

We are particularly pleased with these results, especially considering the complex operating environment in certain regions and the geopolitical challenges that we are facing. Even in this context, we delivered record performance across several key metrics, supported by solid organic growth in local currencies and continued margin expansion. Excluding the FX translation effect, we delivered mid-single-digit top line growth, a level not seen in over 2 years. 2 consecutive quarters of double-digit EBITDA growth, also not seen in 3 years.

We also achieved more than 150 basis points of EBITDA margin expansion for 2 consecutive quarters, making our strongest quarterly expansion since 2021, underscoring the strength of our execution and the operating leverage generated by our long-term strategic investments, including the ongoing transformation in North America as well as continued supply chain efficiencies and reductions in general and administrative expenses.

Turning to the balance sheet. Earlier in the year, we completed a MXN 12 billion dual tranche local bond issuance, primarily used to refinance the [indiscernible] notes. As a result, total debt increased during the period. On another side, net debt decreased by MXN 7 billion versus the year-end of 2025, supported by strong cash flow generation, improved working capital and lower CapEx deployment. Combined with higher EBITDA, this resulted in a net debt to adjusted EBITDA ratio of 2.5x, representing an improvement of 0.2x compared to December and reflecting our continued and consistent deleverage trend.

Geopolitical tensions, particularly those arising from the conflict in Iran have reintroduced inflationary pressures across global markets, primarily in energy, logistics and packaging costs. That said, we entered this period from a position of strength. Thanks to our disciplined handling strategy which we execute consistently year after year, we have reduced our exposure to commodities volatility. This has allowed us to mitigate much of the near-term impact and protect our margins despite the current environment.

However, certain inputs and operational components remain exposed to market dynamics. And as these pressures persist, we do expect a portion of the inflationary impact to flow through our cost and expenses structure. While 2026 remains relatively protected, we prudently included in our guidance, a potential impact. We remain focused proactively managing this environment through disciplined pricing, operational efficiencies and supply chain optimization to mitigate the impact and sustained value creation.

Now turning to our guidance. We are making a few important updates relative to what we shared a couple of months ago. First, we are revising our FX assumption to MXN 17.60 per dollar. This is MXN 0.15 stronger than our previous estimate. This alone represents an impact of approximately 50 basis points on top line and EBITDA growth.

In addition and reflecting a prudent approach given the current environment, we are also incorporating a potential impact of 20 basis points in EBITDA margin from the war. That said, when we consider these external factors, alongside the strong results delivered in the first quarter as well as the continued acceleration in operational efficiencies and productivity initiatives, we are increasing our top line outlook in local currency. We now expect net sales to grow at a mid-single-digit rate. While in peso terms because of the FX effect, we now expect from flat to a low single-digit decline.

On profitability, while we prudently guided a slight EBITDA margin expansion, today, we are raising that outlook. Even after incorporating the external impacts, we now expect a higher EBITDA margin expansion in the range of 60 to 110 basis points, resulting in a full year EBITDA margin of 14.5% to 15%. These Increased confidence reflects the strengths of our first quarter performance, the resilience of our business model and the growing contribution from productivity and efficiency initiatives.

Regarding capital allocation, we are maintaining our full year CapEx guidance of $1.2 billion to $1.4 billion. Although we now expect to trend towards the lower end of the range, the first quarter reflects a lower start in our CapEx power, primarily due to an accelerated investment in the fourth quarter of last year, which has shifted the timing of certain projects.
We expect to catch up as the year progresses. Finally, from a leverage perspective, with a combination of the strong cash generation, disciplined capital allocation and profitability improvements, we are maintaining our expectation of a slight deleverage by year-end versus the end of quarter 2025. Overall, despite a more challenging external environment, we remain confident in our ability to continue strengthening both our operating performance and financial position. Thank you for your time. We can now proceed with the Q&A session. So please go ahead.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Question and Answer

Operator

[Operator Instructions] The first question comes from Fernando Olvera with Bank of America.

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

Maybe starting with the updated guidance, maybe if you can give us some color on what changed, I mean, regarding the margin expansion, what changed with the guidance here a couple of months ago. And what do you expect will be the driver...

Operator

Can you repeat the question, we weren't able to listen to you very well.

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

Okay. Let me repeat the question. Based on the current guidance or the updated guidance, if you can share, Diego, what changed versus 2 months ago? And what will be the drivers of this margin expansion? That's the first question.

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. Fernando, as I explained, we have considered a couple of negative effects, a little bit of reconsidering the expectation of a stronger peso for the year, which is putting some pressure to our top line growth in Mexican pesos as well as for the EBITDA growth of approximately 0.5 percentage point. We also included the impact of unexpected inflation, which is very volatile and hard to know exactly what's going to happen, but we are being conservative and we did included a 20 basis point impact on the EBITDA line for the full year.

Now while even considering these couple of negative effects, we are improving our expectation for the year has to do. First, with the strong results of the first quarter that completely exceeded our expectations in most of the regions, as Alejandro mentioned, as you clearly can see North America improved much more than what we expected. Mexico was stable, also with the extraordinary positive impact of selling the minority stake that we had in a subsidiary that had a positive impact on our results. So that was not considered in the initial guidance. So that is also helping. And lastly, the confidence that we have that we're going to be able to continue to implement even in a challenging environment, the operating efficiencies and the productivity initiatives across the different segments of the company. .

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

Okay. And these efficiencies are expected, I mean, across the board? Or is there any region by standard...?

Diego Gaxiola Cuevas
Chief Financial Officer

Probably the 1 that has sort of price was more on the positive side, it's North America. We are running ahead the initial program in terms of the operating efficiencies and the productivity initiatives. We're seeing an improvement in top line, but it's still with a small decline in the first quarter, but better than what we expected, and we feel confident for the coming quarters. So I would probably say North America is the one that is pushing more than the other segments, the expectations for Grupo Bimbo.

Mexico has been very stable. Of course, in Mexico, we have the positive impact again from the profits that we had from the sale of the minority stake in the subsidiary, that is reflected under the segment of Mexico. I think that Lat Am is behaving as expected.

As Alejandro mentioned, we had in the quarter some expenses related to the integration of Wickbold in Brazil. It is not going to be only one quarter. It is something that will continue to happen in 2026 as we consider a couple of months ago. So that is why even though it's not going to being the strongest year for LATAM, it's quite in line with the initial expectation. And Europe, Asia Africa, it's also performing slightly better than expected, Fernando.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

Okay. And just a second quick question. Considering that the sale of this minority stake in Mexico, always considered, can you share more details on this? And what was the amount of the gain recognized and what would have been the performance with such gains this quarter?

Diego Gaxiola Cuevas
Chief Financial Officer

Yes, sure. I mean-- we do not disclose the specific information in terms of the amount. It was 4% minority stake that we had in Grupo La Moderna and Pasta [indiscernible], which was a related company to Grupo La Moderna. The profit or the positive impact on the EBITDA at the Grupo Bimbo level represented approximately 50 basis points.

Fernando Olvera Espinosa de los Monteros
BofA Securities, Research Division

50?

Diego Gaxiola Cuevas
Chief Financial Officer

yes, 50 basis in the quarter at Grupo Bimbo level, so for the year, it's going to be more like between 10 to 13 basis points in the full year, okay? .

Operator

The next question comes from Alejandro Fuchs with Itau.

Alejandro Fuchs
Itaú Corretora de Valores S.A., Research Division

I have just one very quick one maybe for Alejandro. I wanted to see if you could elaborate a little bit on the U.S. business, like with a the growth of 1%, let's say, in dollars in top line, you commented that you are seeing better sequential volumes. I want to see if you can elaborate a little bit more into which channels in the U.S. where is the growth coming or the improvement coming from and how are you seeing the consumer evolve in the U.S. And if you could also tell us a little bit of your expectations, let's say, going forward for this consumption environment in the country.

Alejandro Rodríguez Bas
Chief Executive Officer

Alejandro, thank you for the question. As you know, we don't reveal information in all the channels. What we are seeing, despite all the trends is that we have been able to adapt to these new trends. And we're starting to see recovery pretty much across most of our channels. And our different lines. But let me pass you to Greg, so he can put a little bit more color to it.

Greg Koehrsen
President of Bimbo Bakeries USA

Thank you, Alejandro. From a consumer perspective, the U.S. consumer continues to be under some amount of pressure as they have been over the last number of quarters and even the last number of years. However, as part of our transformational effort, we are seeing increased performance through our executional disciplines with our frontline associates in our sales execution. And we are seeing benefit period by period and quarter by quarter, which gives us some positivity about the future.

Operator

The next question comes from Ben Theurer with Barclays.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Congrats on a good start. Diego, maybe 1 for you. You've touched on it obviously, the implications from the Middle East conflict as it relates to certain things such as packaging, et cetera, transportation. But you haven't talked much about the raw material input in terms of like just the commodities that you need.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Could you give us an update as it relates to where you stand roughly on hedging for the next couple of months, quarters or whatever you want to call out? And how you would think this could potentially be a headwind at some point? Or what are the effects. You can do to mitigate some of that pressure. So just like the raw material commodity piece.

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. Well, at this point, we haven't seen any material impact in our operations. We started the year with an important portion of the commodity needs of 2026 already hedged. Today, we have the vast majority of our needs also hedged for 2026. As you know, we have a rolling methodology. So we have just started to take some positions for 2027, which considering existing prices might probably have some pressure. Slight pressure for 2027.

If things were to stay as what we're seeing today with the spot rate, the impact wouldn't be very big. Although, again, what we have seen is a lot of volatility. So we did assume that this is going to impact our profits in 2026, not from the commodities, but even in some of the raw materials, the commodities hedge but not the accessories and transporting kind of the flour, the wheat flour to our facilities, and that is having an incremental cost. So that is why we're putting this assumption, and I want to highlight that it's an assumption based on what we know today, but we're not 100% certain in terms of the magnitude and how long it's going to last. But I think it will be irresponsible not to consider something. So what we did was an assumption of 20 basis for the year.

Benjamin M. Theurer
Barclays Bank PLC, Research Division

Okay. Got it. And then just 1 quick follow-up. We saw obviously a good gross margin expansion in North America, but in an even better operating margin expansion. Can you help us bridge what was the main driver, first on the gross side and then maybe on the operating side to see like where that leverage is coming from as it relates to the North American business?

Diego Gaxiola Cuevas
Chief Financial Officer

Yes, I mean, in one hand, we had a positive raw material cost, okay? And that is helping the gross margin, say, and a little bit also with the top line effect. Now where we're seeing the margin upside is in SG&A. We delivered record productivity gains. We also had lower restructuring expenses. And so that's helping the EBITDA margin. And again, as I said, we are considering that these operating efficiencies and productivity initiatives will continue to be there for the year, but also the additional ones that we're working on as we speak that will start to kick in, in the coming quarters and will also create a positive effect in 2026.

Operator

The next question comes from Renata Cabral with Citigroup.

Renata Fonseca Cabral Sturani
Citigroup Inc., Research Division

My first one is a follow-up on the U.S.. As we think about the U.S. recovery, what are the key indicators or milestones that you believe it will help us to gain confidence in the sustainability of the improvement? And as you are expanding further in sweat and sour snacks in the U.S., how that's already contributing to the overall growth and margins? And the second question is related to [LATAM] we saw margins impacted by the integration of Wickbold in Brazil. Could you share how you see this evolving over the next few quarters. And when margins might normalize in the region?

Greg Koehrsen
President of Bimbo Bakeries USA

Thanks, Renata, for the question. I'll take the first question as it relates to the U.S. and some of the markers that we've been seeing that measures our progress. First of all, as we talked about last time, with our transformational effort, we're looking at how to become a much more efficient and productive organization through all areas and all functions. And what would tell you is that we're seeing the results of that [Technical Difficulty]

Thanks for the question, and apologies if I'm repeating some of this. You asked about sort of markers of progress within North America. I would say that we have looked at every area of our operational engine to become more efficient and productive within that operating engine. We're looking at procurement. We're looking at logistics, manufacturing and of course, overall G&A. And what I would tell you is that we're making progress on all of those. We measure the team and have clear KPIs around all of those different efforts.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

The other thing I would offer too, is that we have, over the last couple of quarters, taking a very rational and disciplined approach related to pricing and promotion and that clearly is a metric that we are following, and we see progress on. So that will hopefully answer the first question. I'll turn it over to Diego for the next 2.

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. Firstl, let me remind you all that the acquisition of Wickbold, it's a acquisition that the value is based on the synergies that we have on merging and putting together the operations of Wickbold and Bimbo Brazil, all across the P&L, top line costs, logistics, G&A. So being a big business for Brazil, the integration is going to take time. So what we saw during the quarter, probably in the same case for the coming 3 quarters, and we will continue to see some pressure in our profitability for the LATAM region being rest operation in Lat Am for us 2026.

Now as I mentioned, this is not a surprise. As I said, this is something that we previously considered in our expectation. Of course, we knew that this is going to take a lot of time, effort and money. Hit on profitability this year, but we feel very optimistic. We feel very positive about the potential, and we will see this once we end the integration of the business.

Operator

The next question comes from Antonio Hernandez with Actiner.

Antonio Hernandez Velez Leija
Actinver Casa de Bolsa, S.A. de C.V., Research Division

Congrats on those very solid results. Just a question regarding -- I mean you've been mentioning for several conference calls, the K-shaped economy signs in the U.S., if I listened correctly, I think you mentioned that this time. I don't know if you continue to see those signs as well? And also if you see...

Diego Gaxiola Cuevas
Chief Financial Officer

Sorry to interrupt, I don't know if it's a line or the other side of the line, it was very hard to hear you. So I don't know if you can repeat the question a little bit more slowly and louder, please? .

Antonio Hernandez Velez Leija
Actinver Casa de Bolsa, S.A. de C.V., Research Division

Sure. Sure, of course. My question is regarding the K-shaped economy signs that you've been mentioning in previous conference calls in the U.S. I don't know if I listen to correctly, but I think that you didn't mention that this time. So I wanted to know if you continue to see the signs in the U.S. and in many case, if you're seeing any signs of this as well in Mexico.

Diego Gaxiola Cuevas
Chief Financial Officer

Antonio, let me capture this. Are you talking about the K consumer? This impact at having.

Antonio Hernandez Velez Leija
Actinver Casa de Bolsa, S.A. de C.V., Research Division

Exactly.

Diego Gaxiola Cuevas
Chief Financial Officer

So let me build a little bit on it. Yes.

So as you know, the polarization of the economies are in a way, dividing our markets within the countries and we are developing solutions and new products for these 2 occasions. On the one hand, we want to be where consumers are going, whether it's in lower segments or in premiumization. So we are launching around the world, and Mexico is not an exception. Protein-based products. We're launching and enhancing more attributes to our products, so we can cater to all the audiences that we have around the world. And Mexico, like I said, it's not an exemption. You can see that we're offering more value-added products as well as products that are also supporting affordability.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Operator

The next question comes from Alvaro Garcia with BTG.

Álvaro García
Banco BTG Pactual S.A., Research Division

my questions for Alejandro on Marcel specifically. I know it's a business you know well. Just my question is on the chips brand. So the chips brand has obviously done quite well in Mexico. Just given the relative size of your snacks business in the U.S., the success of [indiscernible] I was wondering just from a strategy angle, if it would make sense to eventually roll out the chips brand in the U.S. Any thoughts on that would be greatly appreciated Sorry. .

Alejandro Rodríguez Bas
Chief Executive Officer

As much as we don't disclose our specific plans, you're right. In that product that you mentioned, our chips brand is very strong. And yes, we would like to see it all around the world, including the U.S. one day.

Álvaro García
Banco BTG Pactual S.A., Research Division

Me too. Great. I'll follow up with the second one. The Mexican consumer I was wondering if you can maybe give some detail on -- there's obviously a lot of questions on the degree of weakness in Mexican consumer that we've seen. Is there anything you can mention maybe from a geographic standpoint that you're seeing in your business or from a channel standpoint that you're seeing in your business as to the sort of state of the Mexican consumer.

Alejandro Rodríguez Bas
Chief Executive Officer

I think what I can talk about Mexican performance by zone is that we're seeing a very strong acceptance in the central and Southeast part of Mexico. As you have seen, we're gaining share, and we're gaining the preference of new and existing consumers. So we will continue to bring innovation.

In most of our segments, we -- despite that it's a difficult space, and the economy not necessarily growing, we are finding the same as in the U.S. with a good execution, we are able to service customers and clients that are waiting for us.

Operator

Next question comes from Diego [indiscernible] with HSBC.

Unknown Analyst

Just wanted to ask another one on margins. You had a really strong expansion this quarter, which was supported by productivity gains and some other factors. So in that sense, I wanted to ask, how should we think about the sustainability of these margins going forward, especially the transformation in North America advances and you continue with the integration of your recent acquisitions.

Diego Gaxiola Cuevas
Chief Financial Officer

I mean -- as you can imagine, we are not expecting a margin expansion as big as the one that we had during the first quarter, which was a 260 basis. As I mentioned, we are expecting an expansion for the full year in the range of 60 to 110 basis. So at the Grupo Bimbo level, we feel confident that we will see improvements in our margins. But again, not with the size of the improvement that we have during this first quarter. .

Also, you have to keep in mind that in the first quarter of 2025, we had 30 basis points decrease. So we had a slight easier comparison than the ones that we will start to face in the coming quarters. And we will also not have the 50 basis points that came from the sale of the minority stake in Grupo La Moderna. So if we were to adjust extraordinary positive transaction. Our margin expansion was more in the range of 110 basis. So I hope that answers your question of the Grupo Bimbo. Now in the retail segments, as we already mentioned, that [indiscernible] during the coming quarters in LatAm because of the international expenses of Wickbold.

Operator

The next question comes from Roland Mendes with JPMorgan.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Unknown Analyst

Sorry, Diego, can you repeat just the guidance on top line. My line got a little bit cut off when you said it, the new guidance on top line. And my real question would be how far are we from the margin run rate in the U.S.? Or in other words, how much of the efficiency benefits are yet to be reflected in results.

Diego Gaxiola Cuevas
Chief Financial Officer

Yes. So again, let me turn to be very clear. Our expectation in top line in Mexican pesos is to end the year flat to a low single-digit decline, okay, in Mexican pesos. Of course, in local currencies, we're expecting a mid-single-digit growth, okay? So we are assuming strong peso for the average of the year, and this is putting that pressure into our top line growth. Now in terms of EBITDA, we are expecting a margin expansion for the full year between 60 to 110 basis points.

Now regarding the questions on the specific of the potential of North America. We do not disclose that information. What we can share with you is that we feel happy with what we have been able to achieve, and we feel confident about the future and a positive future performance for North America in the coming quarters and the coming years.

Operator

The next question comes from Lucas with Morgan Stanley.

Unknown Analyst

Congratulations on the results reported tonight. I think I wanted to ask a bit about what you guys talked about the hedging situation, especially as it pertains perhaps to the late part of 2026. And as we look even a bit forward into 2027, I know we are still living in a very volatile environment. But I wanted to explore your early thoughts at least on what do you think could happen if next year futures curves did materialize, we see higher material costs, distribution costs, how do you see Bimbo perhaps, especially in the U.S. position to face the higher cost structure?

Do you think there is still room given the customer environment for maybe additional pass-through to prices? Competitively speaking, do you think that based at least on the recent past that you could gain share given your competitors will probably be worse positioned than you are, given your scale, the quality of our brands. So I wanted to explore a bit more thoughts maybe a bit early, but still useful as we go into the later part of 2026 and 2027, which is when we probably see a worse cost inflation for the whole industry.

Alejandro Rodríguez Bas
Chief Executive Officer

As you said, there are a lot of unforeseen events that could or could not happen. What we will do is we will continue to focus inward. How do we serve in a better way? How do we serve in a cheaper way. How do we produce in a way that we can be prepared for whatever that is happening on the outside. So this transformation started a year ago. I think it's going to take 2 or 3 years transformation can start happening around the world.

So I guess our obligation is to look inward and see how it is that we can serve our clients and consumers better. Now what's going to happen, as you said, we don't know. We do forecast sometimes how bad could it get, but we cannot control it. So we will continue to work inward to be in a better position to service client and customers.

Operator

This concludes the question-and-answer session. I would like to turn the conference back over to Alejandro Rodriguez Bas for any closing remarks. Please go ahead.

Alejandro Rodríguez Bas
Chief Executive Officer

Thank you all for your time today. Please do not hesitate to contact our Investor Relations team with any further comments or questions you might have. I hope you have a great night. Thank you all.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

Copyright © 2026 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Copyright © 2026 by S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved.

These materials have been prepared solely for information purposes based upon information generally available to the public and from sources believed to be reliable. No content (including index data, ratings, credit-related analyses and data, research, model, software or other application or output therefrom) or any part thereof (Content) may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of S&P Global Market Intelligence or its affiliates (collectively, S&P Global). The Content shall not be used for any unlawful or unauthorized purposes. S&P Global and any third-party providers, (collectively S&P Global Parties) do not guarantee the accuracy, completeness, timeliness or availability of the Content. S&P Global Parties are not responsible for any errors or omissions, regardless of the cause, for the results obtained from the use of the Content. THE CONTENT IS PROVIDED ON "AS IS" BASIS. S&P GLOBAL PARTIES DISCLAIM ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, SOFTWARE ERRORS OR DEFECTS, THAT THE CONTENT'S FUNCTIONING WILL BE UNINTERRUPTED OR THAT THE CONTENT WILL OPERATE WITH ANY SOFTWARE OR HARDWARE CONFIGURATION. In no event shall S&P Global Parties be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs or losses caused by negligence) in connection with any use of the Content even if advised of the possibility of such damages. S&P Global Market Intelligence's opinions, quotes and credit-related and other analyses are statements of opinion as of the date they are expressed and not statements of fact or recommendations to purchase, hold, or sell any securities or to make any investment decisions, and do not address the suitability of any security. S&P Global Market Intelligence may provide index data. Direct investment in an index is not possible. Exposure to an asset class represented by an index is available through investable instruments based on that index. S&P Global Market Intelligence assumes no obligation to update the Content following publication in any form or format. The Content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. S&P Global Market Intelligence does not act as a fiduciary or an investment advisor except where registered as such. S&P Global keeps certain activities of its divisions separate from each other in order to preserve the independence and objectivity of their respective activities. As a result, certain divisions of S&P Global may have information that is not available to other S&P Global divisions. S&P Global has established policies and procedures to maintain the confidentiality of certain nonpublic information received in connection with each analytical process.

S&P Global may receive compensation for its ratings and certain analyses, normally from issuers or underwriters of securities or from obligors. S&P Global reserves the right to disseminate its opinions and analyses. S&P Global's public ratings and analyses are made available on its Web sites, www.standardandpoors.com (free of charge), and www.ratingsdirect.com and www.globalcreditportal.com (subscription), and may be distributed through other means, including via S&P Global publications and third-party redistributors. Additional information about our ratings fees is available at www.standardandpoors.com/usratingsfees.
© 2026 S&P Global Market Intelligence.